

Then the tide left the station, to mix metaphors. Price made a measured move down, stair-step pattern, mirroring the upward move except sinking. The pause in the middle of the pattern was right where it paused on the way up, showing a very pretty mirror of the left side.

The stock continued a near straight-line run down to 22.02 (for a potential loss of 19%). In mid-March, I wrote this in my notebook: "This has completed a downward move, from what I can see. The sharp up move starting 10 November 2006 has been reversed. Review of stock charts says that when a decline (not necessarily a quick one) follows a quick rise, price begins rising again, recovering the loss and then some. This looks to me to have completed the reversal, even though the fundamentals suggest a bumpy road ahead."

Buried in my notes was the trap. Did you find it? "...price begins rising again, recovering the loss and then some." I did my research and concluded the stock would rise. All I had to do was wait and I'd be rewarded.

The stock moved sideways for 3 months. No big deal. I don't mind waiting for my trades to work.

The stock dropped again in another straight-line run down. *Uh-oh.*

I threw in the towel on 27 June 2007. From my notebook: "Sell reason: This looks like it's about to fall off a cliff, and it dropped below a double bottom low from April. Price will continue down, so I'm selling..."

The double bottom in April looks more like a head-and-shoulders bottom that started in March. I lost 26% on the trade. Yes, you can laugh now. Wait until it happens to you.

Did the stock fall off a cliff? Yes it did. It dropped to 10.15, a decline of 49% below the 20 where I sold.

- Lesson: Plan the trade and trade the plan.

Plan? What plan? I didn't flush out this trade before I entered it. For a few weeks, it looked as if the trade might work out well. But then the trend reversed. It appears this was a buy-and-hold mistake, not a planned swing or position trade. So I was willing to give the stock room to grow (or shrink, in this case). Even after the stock dropped back to 22, it looked like that